USES OF INDUSTRY ANALYSIS

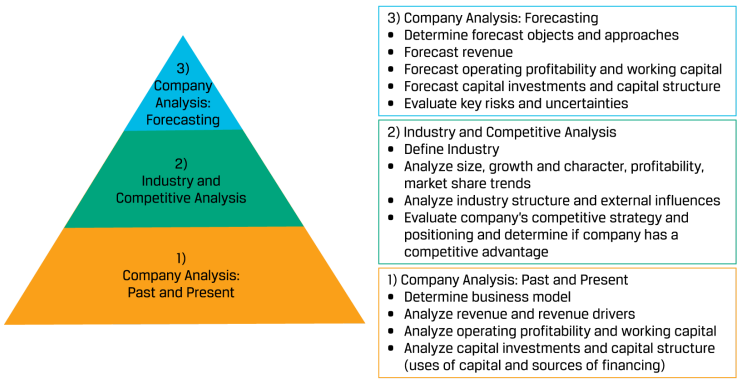
Learning Outcome

- describe the purposes of, and steps involved in, industry and competitive analysis

The next step in our company and industry analysis framework (Exhibit 1), introduced in the last module, is industry and competitive analysis, which involves the study of the drivers of an industry's size, profitability, and market shares and the evaluation of a company's competitive positioning in its industry.

Exhibit 1:

Company and Industry Analysis Framework



Why Analyze an Industry?

Many industry participants have similar business models. They often compete in the same or similar product markets as sellers and in factor markets as buyers, so they tend to be exposed to the same demand and supply opportunities and risk factors. As will be discussed later with Porter's Five Forces model, these industry structural factors result in profitability differences by industry in the long run, with company-specific factors like business model variation, competitive strategy, size, and execution creating variance around the industry median.

McGahan and Porter (1997) estimated the relative importance of industry versus company-specific effects on both the emergence of economic profits (ROIC in excess of WACC) and their sustainability over time, finding that industry was the most important factor in the sustainability of economic profits. Importantly, they found that company-specific effects were much larger for low performers than for high performers in an industry, suggesting that industry and competitive forces can act as a ceiling on a company's returns but not as a floor.

A useful way to think about this dynamic is that competition "pulls" company profitability to an industry base rate over time. Industry and competitive analysis is used to estimate that base rate and its determinants, to form a forward-looking perspective on potential structural changes, and, finally, to analyze firms' relative strengths and weaknesses to determine their position against the base rate. It is important to emphasize, though, that these measures and outcomes are dynamic and that some companies have outperformed or underperformed their industry in economic profitability for many years.

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industry perspective and better understanding these drivers—as well as building a database of past competitive actions and strategies by firms in an industry and their track records of success—analysts can sharpen their forecasts and alertness to what is most important. **Guan, Wong, and Zhang (2014)** found that sell-side investment analysts who covered both companies and their suppliers made more accurate earnings forecasts than those who did not cover the suppliers. Without a broader perspective, an analyst may underrate competitive forces and overrate the degree to which a company controls its destiny.

Identify Investment Opportunities

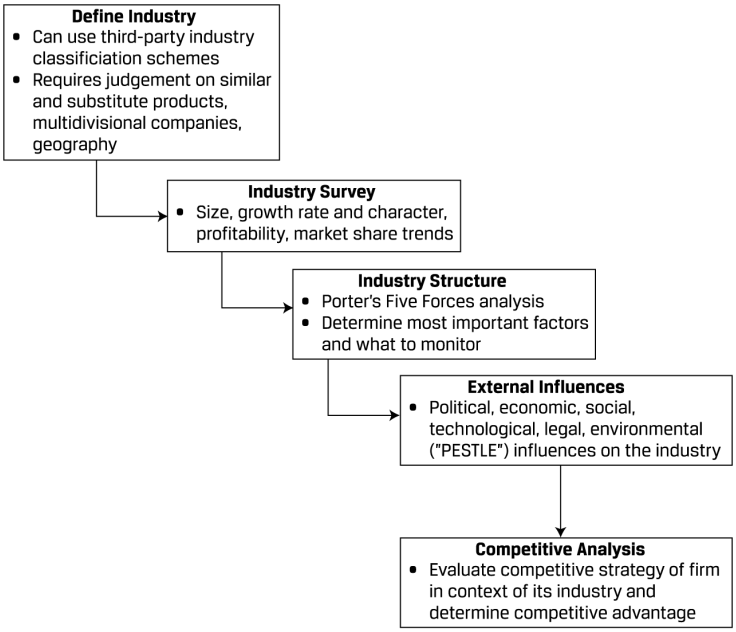
Industry analysis may uncover an attractive investment candidate that an analyst was previously unaware of or had not fully appreciated until assessing its strengths and weaknesses relative to industry peers and competitors. In addition, some investors may conclude that it is the industry, not any specific company, that they want exposure to, and in fact would like to diversify away the company-specific risks. These investors might take a basket approach by investing in several companies with position sizes scaled by size, liquidity, or relative attractiveness.

Industry and Competitive Analysis Steps

We approach industry and competitive analysis through the process shown in Exhibit 2, which begins with defining an industry and ends with evaluating a company's competitive positioning in the context of that industry.

Exhibit 2:

Industry and Competitive Analysis Steps



Question Set

1. Over the long run:

A. business cycles result in profitability differences by industry.
B. company-specific factors such as competitive strategy result in profitability differences by industry.
C. structural factors result in profitability differences by industry.

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C is correct. Structural factors, such as Porter's Five Forces, drive profitability and profitability differences by industry in the long run. Company-specific factors result in company profitability levels around the industry median, while changes in the business cycle drive *short-run* profitability for both industries and companies.

2. Which of the following is an industry, *not* a company-specific, attribute?

A. Competitive strategy
B. Business model variation
C. Sensitivity to the business cycle

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Solution:

C is correct. Sensitivity to the business cycle is an example of a factor that influences an entire industry.

A and B are examples of company-specific attributes, which also include company size and strategy execution.

3. Explain why industry has a significant effect on company growth and profitability.

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Solution:

Companies in the same industry compete in similar product markets as sellers and in factor markets as buyers, so they tend to be exposed to the same demand and supply opportunities and risk factors. For example, while a restaurant company that sells chicken has a different product than a restaurant that sells pastries, both are competing for a similar customer need (prepared food), employ similarly skilled workers, and have capital equipment and real estate.

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